Does that seem like too much effort? It's easier than you might think. There are no computer programs to learn or two-inch-thick investment banking manuals to decipher. You do not have to become an MBA-level authority on business valuation to profit from the focus approach. There is nothing scientific about valuing a business and then paying a price that is below this business value.

"You don't need to be a rocket scientist," confesses Buffett. "Investing is not a game where the 160 IQ guy beats the guy with the 130 IQ. The size of an investor's brain is less important than his ability to detach the brain from the emotions."[60] Changing the way you approach investing, including how you will, going forward, interact with the stock market, will involve some emotional and psychological adjustments. Even though you may fully accept the mathematical arguments for focus investing, and even though you see that other very smart people have been successful with it, you may still feel some hesitation—emotionally speaking.

The key is to keep the emotions in appropriate perspective, and that is much easier if you understand something of the basic psychology involved in applying the Warren Buffett Way—which brings us to the next chapter.

Notes

1. Conversation with Warren Buffett, August 1994.
2. Dan Callaghan, Legg Mason Capital Management/Morningstar Mutual Funds.
3. Berkshire Hathaway Annual Report, 1993, 15.
4. Ibid.
5. Conversation with Warren Buffett, August 1994.
6. *Outstanding Investor Digest*, August 10, 1995, 63.
7. Ibid.
8. Peter L. Bernstein, *Against the Gods* (New York: John Wiley & Sons, 1996), 63.
9. Ibid.
10. Ibid.
11. *Outstanding Investor Digest*, May 5, 1995, 49.